

Nepal Labor Act, 2074

Shram Ain, 2074

1. Applicability to Banking Sector

The Labor Act, 2074 governs the terms of employment, working hours, benefits, safety, and employee relations for all entities in Nepal, including commercial banks. Under this Act, bank employees are classified as workers and are entitled to standard leaves, retirement benefits, and fair working hours.

2. Working Hours & Overtime (Section 28-30)

- **Standard Hours:** Maximum of 8 hours per day, and 40 hours per week.
- **Rest Interval:** At least 30 minutes rest after 5 continuous hours of work.
- **Overtime:** Maximum of 4 hours per day, and 24 hours per week. Overtime salary must be paid at 1.5 times the basic hourly wage.

3. Approved Leaves (Section 40-45)

Every bank employee is legally entitled to the following leaves:

- **Weekly Off:** 1 day off per week (normally Sunday or Saturday).
- **Public Holidays:** 13 days per year (14 days for female employees including International Women's Day).
- **Home Leave (Annual):** 1 day of home leave for every 20 days worked (accumulable up to 90 days).
- **Sick Leave:** 12 days per year with full pay (accumulable up to 45 days).
- **Maternity Leave:** 98 days total (14 weeks). 60 days must be fully paid. The remaining 38 days can be unpaid or adjusted against other leaves.
- **Paternity Leave:** 15 days with full pay for male employees.
- **Mourning Leave:** 13 days with full pay.

4. Compulsory Benefits & Retirals

- **Provident Fund:** 10% of basic salary contributed by the employee, and 10% matched by the Bank (deposited in Social Security Fund or CIT).
 - **Gratuity:** An amount equivalent to 8.33% of the basic salary must be deposited monthly into the Social Security Fund (SSF).
 - **Accident Insurance:** Minimum coverage of NRs. 700,000 premium fully paid by the employer.
 - **Medical Insurance:** Minimum coverage of NRs. 100,000 premium shared or fully paid by the employer.
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